

PROPOSED
SENATE AMENDMENTS TO H.B. 2756
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 30, Arizona Revised Statutes, is amended by adding
3 chapter 2, to read:

4 CHAPTER 2

5 PUBLIC POWER ENTITIES

6 ARTICLE 1. GENERAL PROVISIONS

7 30-301. Public power entities; new extra high load factor
8 customers; quarterly reports; load growth
9 projections; definitions

10 A. A PUBLIC POWER ENTITY THAT SERVES MORE THAN ONE MILLION
11 CONNECTIONS IN THIS STATE SHALL ~~[FILE WITH]~~ [PROVIDE] THE GOVERNING BODY
12 OF THE PUBLIC POWER ENTITY [WITH AND MAKE READILY AVAILABLE TO THE PUBLIC]
13 QUARTERLY REPORTS REGARDING NEW EXTRA HIGH LOAD FACTOR CUSTOMERS, AS
14 DEFINED BY THE PUBLIC POWER ENTITY, THAT INCLUDE ~~[BOTH OF]~~ THE FOLLOWING
15 [WITH RESPECT TO THE IMMEDIATELY PRECEDING QUARTER]:

- 16 1. THE NUMBER OF REQUESTS FOR INTERCONNECTION.
17 2. THE NUMBER OF COMPLETED INTERCONNECTIONS.
18 [3. THE NUMBER OF CANCELED INTERCONNECTIONS.]
19 4. THE NUMBER OF MEGAWATTS USED FOR INTERCONNECTIONS.
20 5. THE NUMBER OF MEGAWATTS USED FOR COMPLETED INTERCONNECTIONS.
21 6. THE TOTAL NUMBER OF REMAINING MEGAWATTS FOR LOAD REQUESTING
22 INTERCONNECTION.]

23 B. BEGINNING TWO YEARS AFTER THE EFFECTIVE DATE OF THIS SECTION,
24 THE GOVERNING BODY OF THE PUBLIC POWER ENTITY MAY SUSPEND THE QUARTERLY
25 REPORT REQUIREMENT BY A MAJORITY VOTE OF THE GOVERNING BODY IF THE NUMBERS
26 REPORTED BY THE PUBLIC POWER ENTITY PURSUANT TO SUBSECTION A OF THIS
27 SECTION ARE ZERO FOR AT LEAST TWO CONSECUTIVE QUARTERS. THE GOVERNING
28 BODY MAY VOTE TO REINSTATE THE QUARTERLY REPORT REQUIREMENT AT ANY TIME.

1 C. A PUBLIC POWER ENTITY THAT CONDUCTS INTEGRATED SYSTEM PLANNING
2 SHALL INCLUDE EXTRA HIGH LOAD FACTOR CUSTOMERS [AS ONE OR MORE SENSITIVITY
3 CASES OR SCENARIOS] IN THE PUBLIC POWER ENTITY'S LOAD GROWTH PROJECTIONS
4 FOR THE INTEGRATED SYSTEM PLAN. [THE PUBLIC POWER ENTITY'S INTEGRATED
5 SYSTEM PLAN SHALL DISTINGUISH EXTRA HIGH LOAD FACTOR CUSTOMER LOADS IF THE
6 UTILITY HAS RECEIVED CUSTOMER-PROVIDED FINANCIAL SECURITY, GUARANTEES OR
7 COLLATERAL.

8 D. THE GOVERNING BODY OF THE PUBLIC POWER ENTITY SHALL ESTABLISH
9 REQUIRED CHARACTERISTICS THAT GOVERN THE TERMS FOR ELECTRIC SERVICE
10 PROVIDED TO DATA CENTERS THAT ARE NOT OTHERWISE PROVIDED SERVICE UNDER A
11 PREEXISTING PUBLIC POWER ENTITY TARIFF. THE REQUIRED CHARACTERISTICS MUST
12 INCLUDE ALL OF THE FOLLOWING AND ENSURE FLEXIBILITY FOR THE GOVERNING BODY
13 OF THE PUBLIC POWER ENTITY TO REGULATE THE SYSTEM COST IMPACTS OF EXTRA
14 HIGH LOAD FACTOR CUSTOMERS IN THE PUBLIC INTEREST AND TO PROTECT NONDATA
15 CENTER CUSTOMERS FROM SUBSIDIZATION OF EXTRA HIGH LOAD FACTOR CUSTOMERS:

16 1. PROVISIONS FOR MINIMUM BILLING REQUIREMENTS.

17 2. MINIMUM CONTRACT LENGTH.

18 3. PROVISIONS THAT GOVERN EARLY EXIT OR TERMINATION OF SERVICE
19 BEFORE THE TERM OF A CONTRACT CONCLUDES.

20 4. REQUIREMENTS FOR CUSTOMER-PROVIDED SECURITY, GUARANTEES OR
21 COLLATERAL TO SUPPORT SERVICE CONTRACT OBLIGATIONS.

22 5. REQUIREMENTS FOR DATA CENTER CUSTOMER PAYMENTS TO COVER THE
23 COSTS OF USE OF EXISTING SYSTEM RESOURCES AND THE COSTS OF ANY
24 INFRASTRUCTURE IMPROVEMENTS, ADDITIONS OR EXPANSIONS THAT ARE NECESSARY TO
25 FACILITATE SERVICE TO THE CUSTOMER. THE PAYMENTS SHALL BE SUPPORTED BY
26 SCHEDULES THAT ARE FILED BY THE PUBLIC POWER ENTITY AND THAT DEMONSTRATE
27 THE PROTECTION OF NONDATA CENTER CUSTOMERS FROM SUBSIDIZATION OF EXTRA
28 HIGH LOAD FACTOR CUSTOMERS.

29 E. FOR THE PURPOSES OF THIS SECTION:

30 1. "EXTRA HIGH LOAD FACTOR CUSTOMERS" INCLUDES DATA CENTER
31 CUSTOMERS.

32 2. "PUBLIC POWER ENTITY" HAS THE SAME MEANING PRESCRIBED IN SECTION
33 30-1001.

34 3. "PUBLIC SERVICE CORPORATION" HAS THE SAME MEANING PRESCRIBED IN
35 ARTICLE XV, SECTION 2, CONSTITUTION OF ARIZONA.]

36 Sec. 2. Title 40, chapter 2, article 1, Arizona Revised Statutes,
37 is amended by adding section 40-207, to read:

38 40-207. Electric service corporations; new extra high load
39 factor customers; quarterly reports; load growth
40 projections; rules; exemption; definitions

41 A. AN ELECTRIC PUBLIC SERVICE CORPORATION OPERATING IN THIS STATE
42 SHALL FILE WITH THE CORPORATION COMMISSION QUARTERLY REPORTS REGARDING NEW
43 EXTRA HIGH LOAD FACTOR CUSTOMERS, AS PRESCRIBED IN RULE, THAT INCLUDE
44 ~~[BOTH OF]~~ THE FOLLOWING WITH RESPECT TO THE IMMEDIATELY PRECEDING QUARTER:

45 1. THE NUMBER OF REQUESTS FOR INTERCONNECTION.

46 2. THE NUMBER OF COMPLETED INTERCONNECTIONS.

47 [3. THE NUMBER OF CANCELED INTERCONNECTIONS.]

- 1 4. THE NUMBER OF MEGAWATTS USED FOR INTERCONNECTIONS.
- 2 5. THE NUMBER OF MEGAWATTS USED FOR COMPLETED INTERCONNECTIONS.
- 3 6. THE TOTAL NUMBER OF REMAINING MEGAWATTS FOR LOAD REQUESTING
- 4 INTERCONNECTION.]

5 B. BEGINNING TWO YEARS AFTER THE EFFECTIVE DATE OF THIS SECTION,
6 THE CORPORATION COMMISSION MAY SUSPEND THE QUARTERLY REPORT REQUIREMENT BY
7 A MAJORITY VOTE IF THE NUMBERS REPORTED BY THE ELECTRIC PUBLIC SERVICE
8 CORPORATION PURSUANT TO SUBSECTION A OF THIS SECTION ARE ZERO FOR AT LEAST
9 TWO CONSECUTIVE QUARTERS. THE CORPORATION COMMISSION MAY VOTE TO
10 REINSTATE THE QUARTERLY REPORT REQUIREMENT AT ANY TIME.

11 C. AN ELECTRIC PUBLIC SERVICE CORPORATION THAT CONDUCTS INTEGRATED
12 RESOURCE PLANNING SHALL INCLUDE EXTRA HIGH LOAD FACTOR CUSTOMERS [IN ONE
13 OR MORE SENSITIVITY CASES OR SCENARIOS] IN THE ELECTRIC PUBLIC SERVICE
14 CORPORATION'S LOAD GROWTH PROJECTIONS FOR THE INTEGRATED RESOURCE PLAN.
15 [THE PUBLIC SERVICE CORPORATION'S INTEGRATED RESOURCE PLAN SHALL
16 DISTINGUISH EXTRA HIGH LOAD FACTOR CUSTOMER LOADS IF THE UTILITY HAS
17 RECEIVED CUSTOMER-PROVIDED FINANCIAL SECURITY, GUARANTEES OR COLLATERAL.]

18 D. THE CORPORATION COMMISSION SHALL ADOPT RULES PURSUANT TO ARTICLE
19 XV, SECTION 3, CONSTITUTION OF ARIZONA, THAT [DO ALL OF THE FOLLOWING:]

20 ESTABLISH REQUIRED CHARACTERISTICS THAT GOVERN THE TERMS FOR
21 ELECTRIC SERVICE PROVIDED TO DATA CENTERS THAT ARE NOT OTHERWISE PROVIDED
22 SERVICE UNDER A PREEXISTING ELECTRIC PUBLIC SERVICE CORPORATION TARIFF.
23 THE REQUIRED CHARACTERISTICS MUST INCLUDE ALL OF THE FOLLOWING AND ENSURE
24 FLEXIBILITY FOR THE CORPORATION COMMISSION TO REGULATE THE SYSTEM COST
25 IMPACTS OF EXTRA HIGH LOAD FACTOR CUSTOMERS IN THE PUBLIC INTEREST AND TO
26 PROTECT NONDATA CENTER CUSTOMERS FROM SUBSIDIZATION OF EXTRA HIGH LOAD
27 FACTOR CUSTOMERS:

- 28 1. PROVISIONS FOR MINIMUM BILLING REQUIREMENTS.
- 29 2. MINIMUM CONTRACT LENGTH.
- 30 3. PROVISIONS THAT GOVERN EARLY EXIT OR TERMINATION OF SERVICE
- 31 BEFORE THE TERM OF A CONTRACT CONCLUDES.
- 32 4. REQUIREMENTS FOR CUSTOMER-PROVIDED SECURITY, GUARANTEES OR
- 33 COLLATERAL TO SUPPORT SERVICE CONTRACT OBLIGATIONS.
- 34 5. REQUIREMENTS FOR DATA CENTER CUSTOMER PAYMENTS TO COVER THE
- 35 COSTS OF USE OF EXISTING SYSTEM RESOURCES AND THE COSTS OF ANY
- 36 INFRASTRUCTURE IMPROVEMENTS, ADDITIONS OR EXPANSIONS THAT ARE NECESSARY TO
- 37 FACILITATE SERVICE TO THE CUSTOMER. THE PAYMENTS SHALL BE SUPPORTED BY
- 38 SCHEDULES THAT ARE FILED BY THE ELECTRIC PUBLIC SERVICE CORPORATION AND
- 39 THAT DEMONSTRATE THE PROTECTION OF NONDATA CENTER CUSTOMERS FROM
- 40 SUBSIDIZATION OF EXTRA HIGH LOAD FACTOR CUSTOMERS.

41 E. THIS SECTION DOES NOT APPLY TO MEMBER-OWNED ELECTRIC
42 COOPERATIVES.

43 [F. FOR THE PURPOSES OF THIS SECTION:

- 44 1. "EXTRA HIGH LOAD FACTOR CUSTOMERS" INCLUDES DATA CENTER
- 45 CUSTOMERS.
- 46 2. "PUBLIC POWER ENTITY" HAS THE SAME MEANING PRESCRIBED IN
- 47 SECTION 30-1001.

1 3. "PUBLIC SERVICE CORPORATION" HAS THE SAME MEANING PRESCRIBED IN
2 ARTICLE XV, SECTION 2, CONSTITUTION OF ARIZONA.

3 4. "RESOURCE PLAN" MEANS AN ELECTRIC UTILITY'S POWER SYSTEM PLAN
4 FOR MEETING FORECASTED ELECTRICITY LOAD OVER A SPECIFIED FUTURE PERIOD.]

5 Sec. 3. Cost-of-service studies; exemption

6 Within one hundred eighty days after the effective date of this act:

7 1. An electric public service corporation operating in this state
8 shall file with the corporation commission a cost-of-service study that
9 shows the cost allocation of serving new extra high load factor customers.
10 This paragraph does not apply to member-owned electric cooperatives.

11 2. A public power entity that services more than one million
12 connections in this state shall file with the governing body of the public
13 power entity a cost-of-service study that shows the cost allocation of
14 serving new extra high load factor customers.

15 Sec. 4. Legislative findings

16 The legislature finds that this act:

17 1. Is necessary pursuant to article XV, section 3, Constitution of
18 Arizona, "for the convenience, comfort, and safety, and the preservation
19 of the health, of patrons of such corporations".

20 2. Does not attempt to set or establish any specific rates or
21 charges to be made or collected by public service corporations or require
22 the corporation commission to set or adopt any specific rates or charges
23 to be made or collected by a public service corporation.

24 Enroll and engross to conform

25 Amend title to conform

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